

are in manufacturing, you may decide that buying rather than renting premises will enable you to increase production capacity and add value to your business, in which case it may make sense for you to apply for a commercial mortgage. Also, think about whether your needs are short term or long term. If short term, investigate ways to help you manage cash flow during a growth period. If long term, your best options are to get a loan or a grant or to find an investor.

FUNDING OPTIONS

Once your business has a track record, lenders (see pp.82–85) may be more open to you, and offer better interest rates. Venture capitalists will be most interested in your business during its high-growth phase, whereas grant givers will be impressed if you are pioneering a new product or service.

› **Lenders** If you already have a loan, discuss consolidating this debt by taking out a new, larger loan that may offer more favorable rates of interest.

› **Investors** If your business is already showing promise, you will be in a stronger position to attract crowdfunding investors, venture capitalists, or a business angel (who

will invest and take a share of the profits but not get involved in managing the business).

› **Grants** Funds are available through government (see pp.212–215), civic, university, corporate, and philanthropic bodies, especially for businesses making a positive impact on society.

3 Preparing a business plan

Write a document that explains your business objectives, measures your progress, and projects how your business will fare in the future.



6 Preparing your pitch

Highlight why and how your business is positioned to take advantage of the current market (see pp.86–87). Back this with valid research and statistics.



48%
of small business loans in the
US are made by large banks

finimpact.com, 2020

